Default Alive or Default Dead?

Paul Graham's most important question for startups

The Question

> *"Assuming your expenses stay the same and your revenue keeps growing at the current rate, do you reach profitability before you run out of money?"*

Default Alive = Yes. You survive even if nothing else goes right. **Default Dead** = No. You die unless something changes.

Most founders don't know the answer. That's terrifying.

The Math (Do This Now)

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Monthly Burn Rate    = _____________ €/month
Monthly Revenue      = _____________ €/month
Monthly Revenue Growth Rate = _______ %
Cash in Bank         = _____________ €

Months of Runway     = Cash ÷ (Burn - Revenue) = ________ months

Months Until Profitable = solve for N where:
    Revenue × (1 + Growth Rate)^N ≥ Burn Rate
```

Quick lookup — months until revenue covers burn:

Growth Rate/ month	Revenue = 10% of Burn	Revenue = 25% of Burn	Revenue = 50% of Burn
5%	47 months	28 months	14 months
10%	24 months	15 months	7 months
15%	17 months	10 months	5 months
20%	13 months	8 months	4 months
30%	9 months	5 months	3 months

If “Months Until Profitable” > “Months of Runway” → You are Default Dead.

What To Do About It

If Default Dead:

You have exactly 3 options. Not 5. Three.

1. **Cut expenses.** The fastest lever. Can you get burn below €500/month? Most student teams can.
2. **Grow revenue faster.** This usually means: sell manually, charge more, or change your customer segment to people who pay faster.
3. **Raise money.** But investors can smell Default Dead. Fix #1 or #2 first.

Do NOT: hire, launch features, attend conferences, redesign your logo, or do anything that isn’t one of the three options above.

If Default Alive:

Congratulations — you have the luxury of time. Use it wisely: - Don’t get complacent. Default Alive at 5% growth is fragile. - Invest in the thing that accelerates growth, not the thing that feels productive. - Stay lean. The moment you raise money and increase burn, recalculate.

For Student Teams (Pre-Revenue)

You don’t have revenue yet, so modify the question:

> *“Based on your current pace of learning and validation, will you reach first revenue before the course ends?”*

Track these weekly: - **Conversations with real potential customers this week: ___** - **Experiments run this week: ___** - **Evidence level reached (see Validation Hierarchy): ___**

If these numbers are flat or declining for 2 weeks in a row, you are the startup equivalent of Default Dead — you’re running out of learning runway.

The Uncomfortable Truth

Paul Graham: *“The fatal pinch is when you’re Default Dead and haven’t yet realized it.”*

The founders who succeed aren’t the ones who avoid being Default Dead. They’re the ones who check every week and course-correct immediately. The ones who fail are the ones who don’t ask the question until it’s too late.

Calculate your number. Write it on a Post-It. Look at it every Monday.